

8. Cost Structure

It covers expenses associated with operating a business and includes both fixed and variable costs. What are the main cost drivers for your business? What are your major cost components? Major cost components include fixed and variable costs.

Essential costs include those necessary for core business operations, like production and customer service, while non-essential costs are discretionary costs, like excessive marketing. Analyzing these costs helps businesses identify areas of overspending and determine where expenses can be reduced or eliminated during cost-cutting initiatives.

Fixed Cost

These are the expenses that remain constant regardless of changes in the company’s production or sales. These costs stay the same over time, regardless of fluctuations in business activity. Examples of fixed costs include rent or lease payments for office space, salaries or wages for permanent employees, insurance premiums, property taxes, and depreciation of assets. This helps businesses predict their financial plans, as these are consistent over the long term.

Fixed Cost	Variable Cost
 Loan Payments	 Labor Wages
 Salaries	 Utility Expenses
 Insurance Premiums	 Sales Commissions
 Rent	 Packaging
 Administrative Cost	 Raw Materials

Variable Cost

These are expenses that fluctuate when there are changes in level of production or sales of a business. Variable costs can increase or decrease based on the goods produced. Examples of variable costs include raw materials or supplies used in manufacturing, labour costs for part-time workers, shipping and distribution expenses, and sales commissions.